

Chapter 1

The Benefits of Full Employment

This chapter is dedicated to Dr. William Spriggs and his lifelong efforts to promote economic justice for all. It is hoped that the chapter reflects his view: "Full employment should mean full employment for all; not some." (Spriggs 2015)

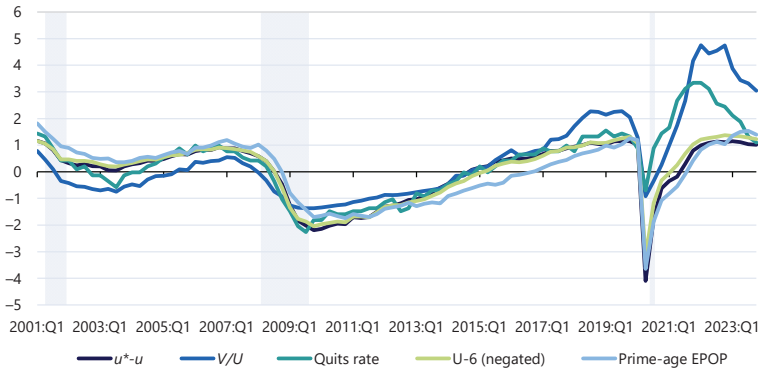
This chapter discusses the economic effects of tight labor markets—loosely speaking, when jobs are plentiful relative to searchers—on working families and the macroeconomy. This topic is of great consequence for working Americans, and thus also for the worker-centered policies of the Biden-Harris Administration. The chapter draws attention to three economic periods characterized by tight labor markets: the late 1990s, the late 2010s, and the most recent period, starting in the wake of the COVID-19 pandemic.

The chapter first describes the concept of "full employment," and then considers an economic framework rooted in firm market power, known as monopsony power (Manning 2003). An immediate consequence of this framework is the critical role of tight labor markets in improving workers' bargaining position for higher wages and better jobs. The monopsony framework also helps to lay the foundation for understanding the deep and important benefits of full employment, particularly for groups often left behind when labor markets are slack.

This chapter's central findings also highlight the benefits of full employment for labor market outcomes—such as unemployment, labor force participation, wages, and other measures—across demographic groups that are often economically vulnerable. In particular, the CEA finds that demographic groups (e.g., as determined by education, race, and sex) with higher average

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Figure 1-i. Measures of Labor Market Tightness



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Sources: Bureau of Labor Statistics; Congressional Budget Office (CBO); CEA calculations.
Note: EPOP = employment-to-population ratio. *u* = unemployment rate. *u** = CBO's natural rate of unemployment. U-6 rate includes marginally attached individuals and those working part time for economic reasons. *V/U*= job openings divided by unemployment. Z-scores were calculated using the sample mean and standard deviations of each measure from 2001 to 2019. Gray bars indicate recessions.
2024 Economic Report of the President

U-6 starts with the standard unemployment rate as a base, but it also includes so-called marginally attached individuals and workers who are part time for economic reasons. Individuals are considered marginally attached if they would accept a job if offered one and have looked for work in the last year but not in the last four weeks. Workers are considered part time for economic reasons if they report working less than 35 hours per week due to slack work, unfavorable business conditions, an inability to find full-time work, seasonal declines in demand, or other economic reasons.

The prime-age employment-to-population ratio (PAEPOP) further includes all nonparticipants as potential job searchers. Focusing on those who are prime age (i.e., 25–54) excludes the effects of population aging and abstracts from school-going and retirement years. Researchers find that, compared with unemployment, the PAEPOP is equally predictive of core personal consumption expenditures inflation and is potentially a better predictor of real wage growth (Furman and Powell 2021).

One additional measure of labor market tightness is the quits rate, which counts the number of employed individuals who have voluntarily left their job (excluding retirements and transfers) in a month as a percentage of employment. The quits rate is a good indicator of the strength of a labor market, as an elevated number of employed individuals voluntarily leave their jobs if they believe they can find a better job (Gittleman 2022; Yellen 2014; CEA 2022). Researchers also find that the quits rate and job-to-job switching behavior is a better predictor of